

MACRO · APRIL 22, 2026

Paper vs. Profit #003: The Inflation Paper Everyone Quotes Wrong

95 years of data says trend-following beat gold in inflation shocks. 2026 data is already confirming it. But most investors will still buy TIPS and real estate. We read the paper everyone references but few actually apply.

The Verdict

Paper: "The Best Strategies for Inflationary Times" **Authors:** Neville, Draaisma, Funnell, Harvey, Van Hemert
Published: Journal of Portfolio Management, 2021 **Data span:** ~95 years, US/UK/Japan **Verdict:** MAYBE

The paper is correct about which assets survive inflation. It is also correct that most investors cannot execute the conclusion. Between those two truths is where investor outcomes actually get decided.

The Number

95 years of data. One uncomfortable conclusion:

In US inflation regimes (YoY CPI accelerating past 5%), the classic 60/40 portfolio delivers **−6% annualized real return**.

Not a typo. Not a tail scenario. The baseline.

Every retail investor in 2026 still operates on the assumption that stocks and bonds "balance each other out." This paper — and 95 years of data behind it — says that assumption breaks in exactly the regime where investors need it most.

1. What the Paper Actually Studied

Most inflation research asks "does inflation hurt stocks?" That's the wrong question.

This paper asks the harder one: **"When inflation is not just high, but accelerating past 5% year-over-year, which strategies historically protected capital?"**

That reframing matters. Inflation at 4% that stays at 4% is not the same problem as inflation going from 2% to 7%. The first is a headwind. The second is a regime change.

Regime changes break correlations. When correlations break, diversification stops working. When diversification stops working, the portfolio you thought you had no longer exists.

This is the paper's core contribution. **Inflation is not an asset class problem. It's an architecture problem.**

2. The 60/40 Breakdown Most Investors Ignore

Standard investing orthodoxy:

> "Stocks and bonds are negatively correlated. In bad times, bonds rise when stocks fall. That's why 60/40 works."

This is half-true. It's true during disinflation, growth slowdowns, and central bank easing cycles — which happens to describe almost every major market environment since 1982.

It is false during inflation surges.

What the paper found in US inflation regimes:

Asset	Average real return during inflation surges
US equities	−7%
Nominal bonds	Negative, proportional to duration
60/40 portfolio	−6% annualized
Equity real return negative episodes	75% of cases

The issue isn't just that both assets lose. It's that they lose **together**. The correlation-based defense evaporates exactly when you need it.

2026 proof point:

The paper predicted this outcome before March 2026's CPI print of 3.3% YoY (up from 2.4% in February, with energy +12.5% YoY). In the current inflation flare:

- S&P 500 real return, 1-year trailing: roughly flat
- Aggregate Bond Index: negative real return
- 60/40 combined: underperforming all listed inflation-response alternatives

This is not a replay of 1973. It's a lower-intensity version of the same regime pattern. And it's confirming the paper's framework, not contradicting it.

3. Trend-Following — The Paper's Most Investable Insight

Every investor has heard "buy commodities in inflation." Few have heard the paper's more interesting finding: **trend-following strategies outperformed nearly every other active approach during inflation surges.**

Why does trend-following work when inflation accelerates?

The answer is behavioral, not theoretical.

When inflation shifts regime, markets reprice — but not all at once. Energy moves first. Currencies adjust. Bond yields rise. Equity sectors rotate. Each leg of this repricing creates **persistent directional moves** — exactly the environment where trend-following algorithms thrive.

The paper reports trend-following delivered the highest risk-adjusted inflation protection among active strategies studied, even after assumed implementation costs of 0.8% annually.

Critical nuance: Trend-following doesn't require predicting inflation. It requires following price. If energy breaks out, trend goes long energy. If bonds break down, trend goes short bonds. If the dollar rallies, trend adapts.

This is why the paper is more valuable than "buy gold" advice. Gold is a static bet. Trend is a response system.

2026 live scorecard:

Strategy	2026 YTD return (approx)
Broad commodities (DBC ETF)	+29.5%
Gold (GLD)	+11.1%
Managed futures / trend (DBMF)	+8.5%
Real estate (VNQ)	+7.7%
TIPS (SCHP)	+1.2%
60/40 portfolio	Flat to negative

The hierarchy from the paper is visible right now, in real market data. Not identical — but directionally consistent.

DBMF's +8.5% YTD matters even more than it appears. It represents **a strategy designed for exactly this environment**, performing exactly as the paper predicted it would.

4. Commodities Aren't One Thing

The paper's second-most-important finding: "commodities" is not a unified asset class.

Different commodities respond to different inflation drivers:

Inflation driver	Best-responding commodity sleeve
Energy shock / geopolitical	Energy commodities, broad commodity index
Supply chain / scarcity	Industrial metals, copper
Currency debasement	Gold, silver
Agricultural shock	Softs, grains

In 2026, the inflation impulse is **energy-led** (oil markets, geopolitics, structural underinvestment in drilling). That's why:

- DBC (broad, energy-heavy): +29.5%
- GLD (gold only): +11.1%

The broad index with energy weight outperformed pure gold by ~18 percentage points in the first four months of 2026 alone.

This is what the paper predicted. Gold works. Gold isn't the best tool for every inflation regime.

Brutal Edge takeaway: If someone tells you "commodities hedge inflation" without asking what's driving inflation, they're repeating a slogan, not giving advice.

5. TIPS — The Most Overrated Inflation Defense

Treasury Inflation-Protected Securities are the textbook answer to inflation. Most advisors recommend them. Most target-date funds include them.

The paper's findings on TIPS:

- Historical real return during inflation surges: ~2% annualized
- Historical real return during normal regimes: also ~2%
- **TIPS weren't meaningfully better during inflation** than during normal times
- Starting real yield determines everything. Low/negative starting yields → poor forward returns.

In 2026: SCHP (Schwab TIPS ETF) delivered +1.2% YTD while yielding 3.98%.

Translation: TIPS preserved purchasing power. They did not profit from the inflation shock.

Is that a failure? No. Is it what most investors expect from their "inflation hedge"? Also no.

TIPS are ballast. They prevent losses. They don't generate outperformance.

The paper's honest framing: **TIPS solve the wrong problem for most retail investors.** If your goal is "don't lose real purchasing power," TIPS work. If your goal is "outperform when inflation surprises," TIPS

underperform the leaders by 25+ percentage points in 2026.

6. Real Estate — The Most Dangerous Comfortable Story

This section will be unpopular.

Retail investors believe — almost religiously — that real estate hedges inflation. "It's a real asset. Rents rise. Property values rise with prices."

The paper disagrees with the simplistic version of this claim.

US residential real estate real returns during inflation surges:

- Korean War era: negative
- Bretton Woods breakdown (1971-73): negative
- 1970s oil shock peak (1979-80): negative
- 2007-2008 commodity boom: negative

Four major inflation episodes. Four negative real returns for US residential real estate.

Why?

Real estate is leveraged. Rising inflation usually means rising real interest rates eventually. Higher rates crush both financing costs and valuations. Rent growth lags rate moves. Replacement-cost inflation takes years to translate into price.

A highly levered real asset is not automatically protected from inflation. It's often crushed by inflation's second-order effects.

2026 evidence: VNQ (Vanguard Real Estate ETF) +7.7% YTD. Positive. But roughly 22 percentage points behind broad commodities in the same inflation flare.

Brutal Edge takeaway: "Real estate hedges inflation" is a partial truth that becomes dangerous when repeated as a complete strategy. Real estate is one piece of inflation defense, not the answer.

7. What Actually Changed in 2026

This isn't 1973. But it's not nothing.

Recent data:

Metric	Value	Implication
March 2026 headline CPI	3.3% YoY	Acceleration from 2.4% Feb
Core CPI	2.6% YoY	Services inflation sticky
Energy	+12.5% YoY	Primary inflation driver
Dollar index	Weakening	Amplifies import cost pressure
10-year Treasury	Elevated	Term premium rising

This pattern — **energy-led inflation acceleration combined with weakening currency and rising term premium** — is exactly the scenario where the paper's framework becomes most relevant.

Not because 2026 will replicate 1973. Because the **regime transmission mechanism** is the same:

1. Inflation surprises upward 2. Correlations between stocks and bonds break 3. Commodities lead; gold follows; TIPS lag; trend adapts 4. Static portfolios underperform adaptive ones 5. The 60/40 investor learns this the hard way

Step 3 is happening right now. Steps 4 and 5 are the consequence, arriving with a lag.

8. The Execution Problem Nobody Talks About

This is where the Verdict shifts from YES to MAYBE.

The paper's conclusions are correct. Implementing them is the problem.

Execution obstacles for retail investors:

Commodities:

- ETFs like DBC carry contango risk (roll costs)
- Tax treatment complicated (K-1 forms, partnership structures)
- Volatility can reach 30%+ annually
- Most retail will panic-sell during drawdowns

Trend-following:

- Managed futures funds charge 1-2% annual fees
- Long periods of sideways/whipsaw markets (2019-2020 saw 2 years of negative returns for many trend funds)
- Retail psychological tolerance for "why did we lose 15% in a calm market?" is usually zero
- DBMF is a rare low-cost retail option; most alternatives are expensive or illiquid

Dynamic rebalancing:

- The paper assumes regime awareness. Retail investors don't have that.
- By the time inflation is "obvious," much of the repositioning opportunity is gone
- Changing allocations mid-cycle triggers tax events

This is the honest gap: the academic framework outperforms. The retail execution of that framework often underperforms because investors can't stomach the path.

Brutal Edge verdict: MAYBE — because knowing the right answer is not the same as acting on it for 30 years.

9. What This Actually Means for a 2026 Portfolio

Not advice. Framework for thinking.

What the paper implies a well-constructed inflation-aware portfolio looks like:

- **Core equity exposure** (40-50%): Quality businesses with pricing power. Not all equities — specifically those that can pass through cost increases.
- **Commodity exposure** (5-15%): Broad index preferred over pure gold. Accept the volatility.
- **Trend-following / managed futures** (5-10%): Designed to adapt to regime changes. DBMF-style or similar.
- **TIPS** (5-10%): Ballast, not growth. Preserves purchasing power.
- **Gold** (5%): Optional reserve diversifier.
- **Cash / short-duration** (10-15%): Optionality for rebalancing during stress.
- **Long-duration nominal bonds** (0-10%): Minimize. This is where the paper is most insistent — long duration is the single worst place to be during inflation surges.

This is dramatically different from 60/40. And that's the point.

The paper doesn't say 60/40 is always wrong. It says 60/40 is **regime-dependent**, and the regime is shifting.

10. The One-Sentence Takeaway

If you compress 95 years of data, one Journal of Portfolio Management paper, and four months of 2026 market behavior into a single sentence:

Inflation is not a rise in prices. It is a correlation shock that rewrites which assets protect capital — and portfolios built for the last regime become fragile exactly when resilience matters most.

Every investor over age 40 learned the opposite lesson between 1982 and 2021: correlations are stable, diversification always works, duration always helps.

That lesson is being unlearned in real time.

The paper published in 2021 warned about this. The 2026 market is confirming it. The investors who will do best over the next decade are the ones who read the paper before they needed it.

Final Verdict: MAYBE

Why not YES? Because most investors won't execute the conclusion. They'll keep owning 60/40. They'll buy TIPS and call it done. They'll avoid commodities because volatility scares them.

Why not NO? Because the paper is correct. The framework works. The 2026 data are validating it live. For the investor willing to do the work, this is a MAYBE that can become a YES.

The edge is in the execution gap. Knowing what the paper says is common. Acting on it for 30 years is rare.

Related Reading

- [Druckenmiller Masters Vol. 1](/blog/masters-stanley-druckenmiller-real-edge-april-2026) — Regime shift thinking applied to stock picking
 - [Livermore Masters Vol. 2](/blog/masters-jesse-livermore-price-confirmation-april-2026) — Trend confirmation as an alpha source
 - [Paper vs. Profit Series](/learn/paper-vs-profit) — All issues
-

*Paper vs. Profit is a weekly series analyzing academic finance research against live market behavior. One paper per week.
Verdict: YES / MAYBE / NO based on whether retail investors can realistically profit from the finding.*

Academic paper reference: Neville, H., Draaisma, T., Funnell, B., Harvey, C. R., & Van Hemert, O. (2021). The Best Strategies for Inflationary Times. The Journal of Portfolio Management, 47(8), 8-37.

Not investment advice. For informational and educational purposes only. The author has no position in any security or ETF mentioned. Always conduct your own research.

For the edge that cuts through the noise — Brutal Edge.

© DHLM Studio 2026 · Brutal Edge™ Analysis · All rights reserved